

ECONOMY / FINANCIAL AWARENESS



**INSOLVENCY
AND
BANKRUPTCY
CODE**

**MUTUAL
FUNDS**

BANK PO / LIC / SSC / GENERAL

MODULE - 1

- Financial Markets
- Equity & Debt
- Shares
- Bonds
- Start-Ups
- Venture Capital

WHY A FINANCIAL MARKET IS REQUIRED?

1

Infosys®



FUND SURPLUS
GROUPS /
INDIVIDUALS



FUND SCARCE
GROUPS /
INDIVIDUALS



The market of an economy, where funds are transacted between the Fund Surplus and Fund Scarce individuals and Groups is known as "**Financial Market**".

2



BUT, WHAT ABOUT DURATION?

1

Requirement of funds up to 364 days (< 1 year)

Short term funds

Money market

Financial market

Requirement of funds for 365 days and more (1 year and above)

Long term funds

Capital market

2



WHY DO I INVEST? CAN I GET ANY PROFIT?



Reliance
Industries Limited



**X purchased RIL
Shares for Rs. 1,00,000**



X Invested in Equity

X is part Owner in RIL



Person X

I get
dividend!

Y Invested in Debt



**Y taken RIL
Debentures worth
Rs. 1,00,000 at 10% Interest**

Y gave Loan to RIL



Person Y

I get
interest
every year!



WHEN DO I GET SHARE CERTIFICATES?



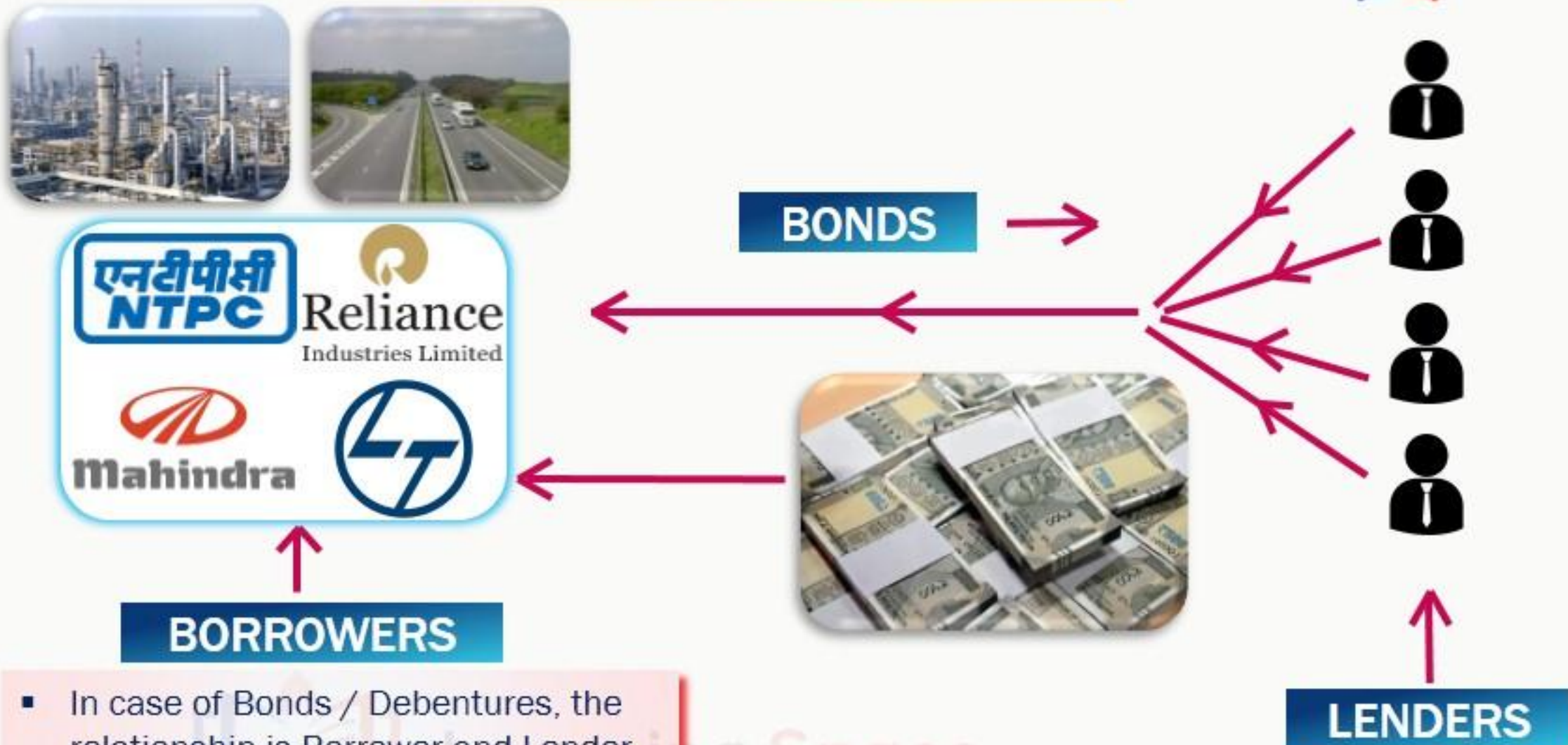
**SHARE
CERTIFICATES**



**SHARE HOLDERS /
EQUITY HOLDERS**

- By purchasing shares, the investor will become part-owner.
- These are called equity instruments.
- If the company is performing well, it may declare dividend.

WHEN DO I GET BONDS?



- In case of Bonds / Debentures, the relationship is Borrower and Lender.
- Bonds / Debentures have interest rate, which is known as coupon rate.

HOW TO DIFFERENTIATE BONDS AND DEBENTURES?



BONDS

- When there is collateral security, they are called bonds.
- Issued by Govt. Undertakings, Financial Institutions & Big Corporations.
- Interest rate is normally less in comparison to debentures.



DEBENTURES

- These are not normally backed by any specific security.
- Issued normally by private companies.
- Interest rate is normally high in comparison to bonds.

In India, these two terms are often interchangeably used and quite often we come across the term Bonds.



START-UPS

“ Budding company in search of a scalable business model. The essence of start-ups is the concepts of ambition, innovation, scalability and growth”. It is normally referred to technology related companies.

BUSINESS INCUBATORS

It is the centre, where an “idea” will be converted into a “profitable business venture” through fostering entrepreneurship, mentoring, management expertise etc.



Mu Sigma
DO THE MATH

DO YOU KNOW?

Flipkart



Flipkart now valued more than 20 billion dollars, was established as a start-up around 10 years ago!



HOW DO I GET FUNDS TO START & RUN A BUSINESS?

STAGE-1

ANGEL INVESTMENT

- For start-ups at too early stage.
- Few lakhs of rupees.
- May be from relatives & friends.
- Emphasis is on person.
- In return, take up equity in company.



STAGE-2

VENTURE CAPITAL

- For start-ups, after assessing high growth potential.
- Moderate investment of at least 1 to 2 million dollars.
- Pooled up money from various professionally managed sources, VC Funds.
- In return, take up equity in company.



STAGE-3

PRIVATE EQUITY

- Capital that is not listed on a public exchange.
- It composed of funds and investors that directly invest in private companies.



WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

Presented by



Learning Space

For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

OUR TEAM

G. V. Rao
K. Srikanth
D. Sunil Kumar
L. V. Krishna
Y. Deepthi

Amrita Naidu
M. Binukrishna
G. Ravi Babu
D. Joji
K. Victor Babu

Visit us at:

www.learningspacedigital.com

0 8 6 6 -2 4 4 4 4 7 2
0 9 8 4 9 9 4 2 2 9 9